Finance Manual — Super Green Farm

This manual defines how Super Green Farm handles money: budgeting, cash handling, purchasing, payroll, recordkeeping, reporting, and controls.

1) Purpose & scope

- Provide clear finance procedures for daily operations.
- Ensure accurate records, timely reporting, and compliance.
- Reduce fraud and errors through internal controls.

2) Roles & responsibilities

- **Owner/General Manager**
    - Approves annual budget and major purchases.
    - Reviews monthly reports and bank reconciliations.
- **Farm Accountant/Bookkeeper**
    - Maintains books, files documents, prepares reports.
    - Processes invoices, payments, payroll, and taxes.
- **Stores/Inventory Officer**
    - Maintains stock cards, issues goods, supports stock counts.
- **Procurement Officer (if applicable)**
    - Collects quotations, raises purchase requests, manages supplier records.

- **Cashier (if applicable)**
    - Receives cash, issues receipts, prepares daily cash summary, deposits money.

3) Chart of accounts (COA) structure

Use a simple, consistent COA. Example groups:

- **Assets**: Cash on hand, Bank accounts, Accounts receivable, Inventory, Equipment
- **Liabilities**: Accounts payable, Loans
- **Equity**: Owner capital, Retained earnings
- **Income**: Crop sales, Livestock sales, Other income
- **Cost of sales**: Seeds/seedlings, feed, fertilizers, packaging, transport to market
- **Operating expenses**: Wages, fuel, repairs, utilities, rent/lease, communication

4) Budgeting & planning

4.1 Annual budget

- Prepare annual budget before the new season/year.
- Include:
    - Expected production volumes by crop/enterprise
    - Expected selling prices and revenue
    - Input costs (seed, fertilizer, pesticides, labor)
    - Overheads (rent, utilities, fuel)
    - Equipment purchases and maintenance
- Owner/GM approves the final budget.

4.2 Monthly forecast & variance review

- Bookkeeper prepares monthly forecast update.

- Compare **Actual vs Budget** and document reasons for variances.
- Actions are agreed (reduce costs, adjust production plan, revise forecast).

5) Cash handling (cash receipts)

5.1 Principles

- Always issue a receipt for cash received.
- Separate duties where possible: receiving cash ≠ recording ≠ banking.
- Deposit cash into the bank as soon as possible (preferably same day or next business day).

5.2 Receiving cash from sales

- Use a **pre-numbered receipt book** (or system receipts).
- Receipt must include:
    - Date, payer/customer name, amount, purpose, payment method
    - Prepared by (signature/name)
- Keep one copy in the receipt book.

5.3 Daily cash-up

- At end of day:
    - Count cash
    - Match to receipts and sales records
    - Prepare daily cash summary
- Cashier and a supervisor sign off.

5.4 Banking/deposits

- Prepare a deposit slip.
- Attach bank deposit confirmation to the daily cash summary.

6) Payments & purchasing (cash disbursements)

6.1 Procurement thresholds (example)

- Small purchases: up to define local limit (e.g., $50–$100) with 1 approval.
- Medium purchases: require 2 quotations + approval.
- Large purchases/capital items: 3 quotations + Owner/GM approval.

6.2 Purchase request to payment process

1. User raises **Purchase Request** with purpose, quantity, and budget line.
2. Procurement obtains quotations and selects supplier.
3. Owner/GM approves **Purchase Order**.
4. Goods received with **Goods Received Note (GRN)**.
5. Supplier invoice matched to PO + GRN (3-way match).
6. Bookkeeper records invoice and prepares payment.
7. Payment approved and executed (bank transfer/mobile money/cheque).

6.3 Payment methods

- Prefer bank transfer/mobile money over cash.
- For any cash payment, attach a signed payment voucher and original invoice/receipt.

6.4 Petty cash

- Use an **imprest** system with a fixed float.
- Petty cash voucher required for each payment.
- Replenish only when vouchers + remaining cash = float.

7) Sales, invoicing & accounts receivable

- Maintain customer list with contacts and credit terms.
- For credit sales:

    - Issue invoice
    - Track outstanding balances
    - Follow up weekly
- Record all payments against customer invoices.
- Write-offs require Owner/GM approval with documentation.

8) Inventory & cost control

8.1 Inventory records

- Keep stock cards for:
    - Inputs (fertilizer, chemicals, feed)
    - Packaging
    - Spare parts
- Record receipts, issues, and balances.

8.2 Stock counts

- Perform stock count:
    - Monthly for high-value items
    - Quarterly for general items
- Investigate variances and document adjustments.

9) Fixed assets & equipment

- Maintain a fixed asset register:
    - Asset name, date acquired, cost, location, serial no., condition
- Capital purchases require Owner/GM approval.
- Track maintenance and repairs with supporting invoices.

10) Payroll & labor payments

- Keep a staff register and contracts/terms.
- Monthly payroll process:
  - Collect attendance/timesheets
  - Calculate gross pay, deductions, and net pay
  - Owner/GM approves payroll
  - Pay via bank/mobile money where possible
- Maintain payroll records and payment evidence.

11) Bookkeeping & records management

11.1 Accounting system

- Maintain records in a spreadsheet or accounting software.
- Minimum ledgers:
  - Cashbook
  - Bank book
  - Sales register
  - Purchase register
  - Payroll register
  - Inventory register

11.2 Filing

File documents by month and type:

- Sales: receipts, invoices
- Purchases: purchase requests, quotations, POs, GRNs, supplier invoices
- Banking: statements, deposit slips, transfer confirmations
- Payroll: timesheets, payroll summaries, payment proof

11.3 Record retention

- Keep financial records for at least 5–7 years (or local legal requirement).

12) Banking & reconciliations

- Download/collect bank statements monthly.
- Perform **bank reconciliation** monthly:
    - Match deposits and payments
    - Identify bank charges and interest
    - Resolve unmatched items
- Owner/GM reviews and signs the reconciliation.

13) Financial reporting

13.1 Monthly reports (recommended)

- Profit & Loss (Income Statement)
- Cash flow summary
- Balance Sheet (Statement of Financial Position)
- Sales summary by product/crop
- Expense summary by category
- Accounts receivable aging (if credit sales)

13.2 Reporting timeline

- Close month within 5–10 days after month end.
- Present reports to Owner/GM for review.

14) Internal controls & anti-fraud

- Approvals: define who approves what.
- Segregation of duties (as possible in small teams).
- No payments without supporting documents.

- Limit access to cash and bank credentials.
- Review exceptions: unusual discounts, refunds, write-offs.

15) Taxes & compliance

- Register and comply with relevant taxes/levies.
- Maintain proof for all tax filings and payments.
- Keep compliance calendar (filing due dates).

16) Standard forms & templates (suggested)

- Purchase Request (PR)
- Request for Quotation (RFQ)
- Purchase Order (PO)
- Goods Received Note (GRN)
- Payment Voucher
- Petty Cash Voucher
- Sales Receipt / Invoice
- Daily Cash Summary
- Stock Card
- Fixed Asset Register
- Bank Reconciliation Template

17) Review & updates

- Review this manual at least annually or when processes change.
- Document revisions: date, section changed, and approver.